

SUB-CONTRACT AGREEMENT (SAMPLE, WRITTEN FOR TESTING, NOT A REAL CONTRACT)

Contractor: Northgate Build Ltd. Sub-Contractor: A. Example Electrical Ltd.

Project: Riverside Apartments, fit-out of 42 units. Sub-Contract Sum: £186,400.

1. Programme

1.1 The Sub-Contractor shall commence on 2 November 2026 and complete the Sub-Contract Works by 30 April 2027.

1.2 The Sub-Contractor shall submit a detailed programme within 10 days of the date of this Agreement.

2. Delay and Liquidated Damages

2.1 If the Sub-Contractor becomes aware of any delay it shall notify the Contractor in writing within 7 days, failing which it shall not be entitled to any extension of time.

2.2 Liquidated damages for late completion shall be £1,500 per day, with no upper limit.

2.3 The Sub-Contractor shall also be liable for any liquidated damages levied on the Contractor under the Main Contract to the extent caused by the Sub-Contractor.

3. Payment

3.1 The Sub-Contractor shall submit an application for payment on the 20th day of each month.

3.2 The due date for payment shall be 7 days after receipt of the application. The final date for payment shall be 60 days after the due date.

3.3 Payment to the Sub-Contractor is conditional upon the Contractor having received payment from the Employer in respect of the Sub-Contract Works.

3.4 The Contractor may issue a pay less notice not later than 1 day before the final date for payment.

3.5 The Contractor may set off against any sum due any amount it considers is owed by the Sub-Contractor under this or any other contract.

4. Retention

4.1 Retention shall be deducted at 10% of the value of each application.

4.2 Half of the retention shall be released upon practical completion of the whole Main Contract Works. The balance shall be released upon issue of the Making Good Defects Certificate under the Main Contract.

5. Variations

5.1 No variation shall be valued unless instructed in writing by the Contractor's project manager.

5.2 The Sub-Contractor shall submit a quotation for any variation within 5 working days of the instruction, failing which the Contractor may value the variation at its sole discretion.

6. Final Account

6.1 The Sub-Contractor shall submit its final account within 30 days of practical completion of the Sub-Contract Works, failing which the Contractor's valuation shall be final and binding.

7. Termination

7.1 The Contractor may terminate this Sub-Contract for convenience on 7 days' notice, with no payment for loss of profit.